



Credit unions

Member-owned, not-for-profit financial organizations, credit unions provide savings, credit, and other financial services to their members.

How it works

Originating in Germany in the mid-19th century, credit unions are nonprofit financial cooperatives set up by members who share a “common bond” for their mutual benefit. The connection between members may, for example, be living in the same town, working in the same industry, or belonging to the same trade union or community group.

Traditionally very small organizations, today around 217 million people worldwide are members of a credit union. Some of the larger unions have hundreds of thousands of members and assets worth several billion dollars.

Credit unions are most prevalent in low-income areas and can be especially useful to those with lower credit scores who fail to qualify for loans from large retail banks, or who are charged increased rates on those loans because of their scores. Unions pool their members’ savings deposits to finance their own loan portfolios rather than relying on outside capital. Some unions require members to save with them before they can borrow money. Savings are covered up to set limits by government-backed statutory compensation plans in the event that the credit union ceases trading, and members pay fewer fees on average.

Not-for-profit

Credit unions are owned by their members (customers), who each have one vote to elect a board of directors to run the organization. Unlike large, retail banks, credit unions generally focus on community banking services that benefit members rather than on profit and returns to external shareholders. Surplus revenue is invested back in the credit union to provide personalized service, financial advice, better products, and rates that are as competitive as possible.



Not-for-profit

The aim is to serve members, not to make a profit. Any surplus revenue is reinvested in running the business.



Owned by members

Shareholders elect a board of directors to run the business. Each member has one vote.



Community orientated

Members share a common link such as employment, religion, or the area where they live.



Personalized service

Staff are committed to helping members improve their financial situation.



Financially inclusive

Customers are often from financially disadvantaged groups who fail to qualify for mainstream financial products.

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